



YELLOW CITY

Master Investor

From investment ideas to professional portfolio management

STARTING POINT

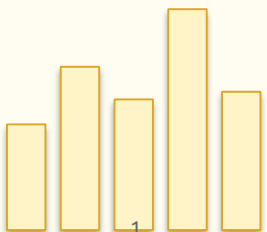
You already know the foundations of investing. Yellow City shows how professionals connect research, risk and decisions.

DESTINATION

Build, manage and defend a simulated \$10 million fund using a repeatable investment process.

TEACHING STYLE

Simple concepts → formula → worked example → meaning → portfolio decision.

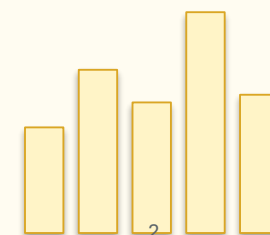




How to use this deck

The goal is not to memorize formulas. The goal is to understand what question each formula answers and how the answer changes an investment decision.

- Read the concept in plain language first.
- Identify the investment question before calculating.
- Write the formula and define the variables.
- Substitute values and show every step.
- Explain the result in ordinary language.
- Only then decide what the result means for the portfolio.





The Yellow City journey

Nine portals move from a single investment idea to the management and defense of a professional fund.

28–30: BUILD

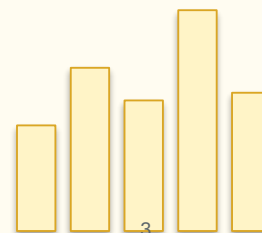
Thesis → behavior → portfolio optimization. Learn how to make and combine disciplined decisions.

31–33: ADAPT

Capital rotation → crisis simulation → global strategy. Learn how to respond when conditions change.

34–36: MANAGE

Fund mandate → multi-year simulation → investment committee. Learn how to operate and defend a professional process.

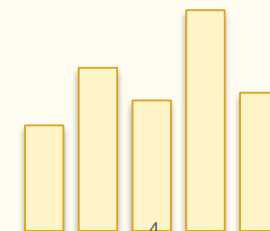




Portal 28 — Build an Investment Thesis

An investment thesis is a testable explanation of why an asset may produce an attractive return. It connects facts, valuation, catalysts, risks and the evidence that would prove the idea wrong.

- What exactly are we buying?
- What does the current price appear to assume?
- What return could reasonably occur?
- What could cause the market to change its view?
- What can go wrong?
- What evidence would make us reduce or exit the position?





From research to portfolio action

A professional decision follows a sequence. Skipping a step makes it harder to know whether a later gain or loss came from skill or luck.

1. RESEARCH

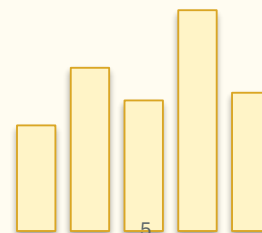
Collect evidence about the business, asset, industry, balance sheet and economic environment.

2. VALUE

Estimate what the asset may be worth under more than one plausible scenario.

3. THESIS

Explain why price and value may differ, what could close the gap and what would prove the idea wrong.





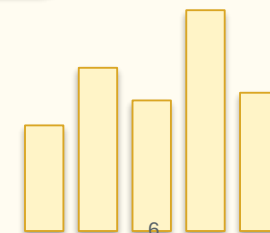
Expected return — the question

Expected return asks: if several different outcomes are possible, what average return is implied after each outcome is weighted by its probability?

- It is forward-looking, not guaranteed.
- Probabilities must sum to 100%.
- Each scenario contributes probability × scenario return.
- The result is useful because competing investments can be compared on the same basis.

$$E(R) = \sum p_i R_i$$

p_i = probability of scenario i ; R_i = return in scenario i



Scenario-weighted expected return

30% chance of +25%, 50% chance of +10%, 20% chance of −20%. What is expected return?

$$E(R) = \sum p_i R_i$$

WORKINGS

- $0.30 \times 25\% = +7.5\%$
- $0.50 \times 10\% = +5.0\%$
- $0.20 \times (-20\%) = -4.0\%$
- $7.5\% + 5.0\% - 4.0\% = 8.5\%$

ANSWER

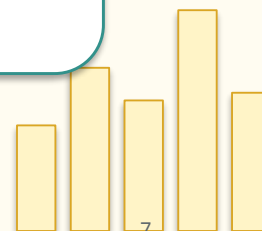
Expected return = 8.5%

WHAT THE ANSWER MEANS

The upside and base cases add 12.5 percentage points, while the downside case removes 4.0. The 8.5% is therefore the probability-weighted average implied by the assumptions — not a promise that the asset will earn exactly 8.5%.

INVESTMENT CONNECTION

Compare the 8.5% with competing investments and with the downside being accepted. Expected return is a screening tool: it tells you whether the thesis deserves capital relative to other opportunities.





Upside, downside and margin of safety

Expected return summarizes scenarios. Upside and downside ask a more concrete question: from today's price, how far could the asset move if our valuation is right — or wrong?

UPSIDE

Potential gain from current price to estimated fair value.

DOWNSIDE

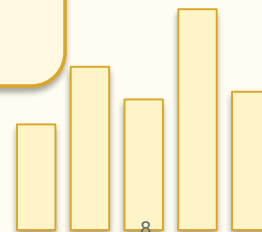
Potential loss from current price to a defensible bear-case value.

MARGIN OF SAFETY

The protection created when price is sufficiently below a cautious estimate of value.

$$\text{Upside} = (\text{Fair value} - \text{Current price}) \div \text{Current price} \times 100\%$$

Use today's price as the denominator because that is the investor's starting capital.



Upside to estimated fair value

Current price = \$42. Estimated fair value = \$55. How much potential price upside is implied?

$$\text{Upside} = (\text{Value} - \text{Price}) \div \text{Price} \times 100\%$$

WORKINGS

- $\$55 - \$42 = \$13$
- $\$13 \div \$42 = 0.3095238$
- $0.3095238 \times 100\% = 30.95\%$

ANSWER

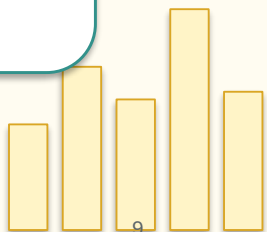
Potential upside $\approx 30.95\%$

WHAT THE ANSWER MEANS

The investor pays \$42 for an asset estimated to be worth \$55. If that estimate is correct and the market eventually reaches \$55, the \$13 price difference represents about 31% appreciation from the purchase price.

INVESTMENT CONNECTION

The 31% matters only beside the bear case and confidence in the \$55 estimate. A 31% upside with 10% plausible downside is very different from 31% upside with 45% plausible downside.

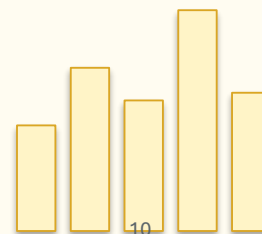




Variant perception

A good asset is not automatically a good investment. If everyone already expects strong performance, that optimism may already be included in the price.

- State what the market or consensus appears to expect.
- State what you believe differently.
- Identify evidence supporting your different view.
- Explain why the market may not yet recognize it.
- Identify what event or evidence could close the disagreement.





Catalysts and falsification

A complete thesis looks in both directions: what could make the market recognize value, and what evidence would show that the thesis is failing?

CATALYST

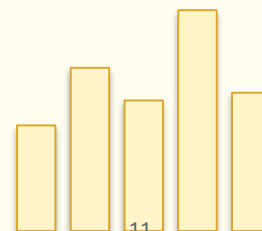
An event or process that can change expectations: earnings, product launch, refinancing, asset sale, rate change or regulatory decision.

FALSIFICATION

Evidence that a key assumption is no longer valid: weak revenue driver, rising balance-sheet risk, failed economics or changed competitive conditions.

SELL / TRIM RULE

A pre-defined action when value is realized, risk breaches the mandate, the thesis breaks or a clearly superior opportunity appears.





Portal 29 — Behavioural Finance

Behavioral finance studies systematic ways investors can misread evidence or make inconsistent decisions under uncertainty.

LOSS AVERSION

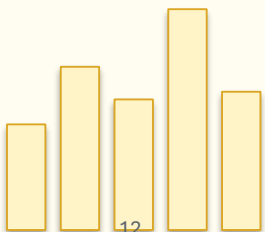
Losses feel more painful than equivalent gains feel rewarding.

ANCHORING / FOMO

Purchase price or recent market excitement can replace fresh analysis.

OVERCONFIDENCE

Confidence can grow faster than forecasting accuracy.





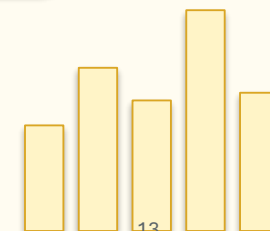
Why a 30% loss needs more than 30% to recover

Percentage losses and gains are calculated from different capital bases. After a loss, the remaining base is smaller.

- Start with \$100.
- Lose 30% → $\$100 \times 0.70 = \70 .
- To return to \$100, the portfolio must regain \$30.
- \$30 is 42.86% of the new \$70 base.

$$\text{Required recovery} = 1 \div (1 - \text{Loss rate}) - 1$$

A deeper loss creates a disproportionately larger recovery requirement.



Recovery after a 30% loss

An investment falls 30%. What percentage gain is required to return to its original value?

$$\text{Required gain} = 1 \div (1 - L) - 1$$

WORKINGS

- $L = 30\% = 0.30$
- $1 \div (1 - 0.30) - 1$
- $1 \div 0.70 - 1 = 1.428571 - 1$
- $= 0.428571 = 42.86\%$

ANSWER

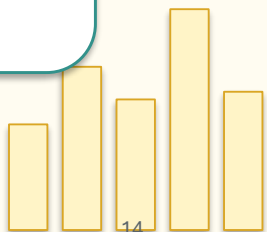
Required recovery $\approx 42.86\%$

WHAT THE ANSWER MEANS

If \$100 falls to \$70, the lost \$30 must now be earned on a \$70 base. $\$30 \div \$70 = 42.86\%$. The calculation shows why losses become progressively harder to recover as they deepen.

INVESTMENT CONNECTION

This supports drawdown control, but it does not mean every temporary decline should be sold. The investor must distinguish ordinary volatility from a permanent deterioration in the thesis.

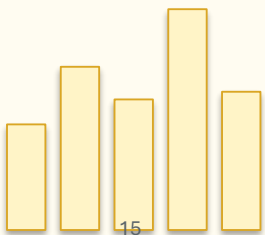




Disposition effect

The disposition effect occurs when an investor realizes winners readily but avoids realizing losses. The important question is whether winners and losers are being judged by different standards.

- PGR = proportion of available gains that were realized.
- PLR = proportion of available losses that were realized.
- $PGR - PLR$ gives a simple indicator of asymmetry.
- The result is a signal for investigation, not proof that every trade was wrong.



Measuring the disposition effect

Realized gains 12, paper gains 8, realized losses 3, paper losses 9.

$$\text{PGR} = \text{RG} / (\text{RG} + \text{PG}); \text{PLR} = \text{RL} / (\text{RL} + \text{PL})$$

WORKINGS

- $\text{PGR} = 12 \div (12 + 8) = 12/20 = 0.60$
- $\text{PLR} = 3 \div (3 + 9) = 3/12 = 0.25$
- $\text{Indicator} = 0.60 - 0.25 = 0.35$

ANSWER

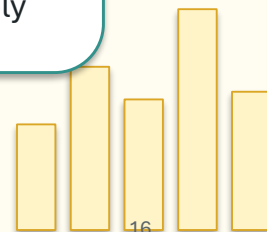
Disposition indicator = 0.35

WHAT THE ANSWER MEANS

The investor realized 60% of available gains but only 25% of available losses. The 35-point gap suggests profitable positions are closed much more readily than losing positions.

INVESTMENT CONNECTION

Review each decision from today's price. Was the winner sold because value was realized, or because taking a gain felt good? Was the loser held because expected return improved, or simply to avoid admitting a loss?





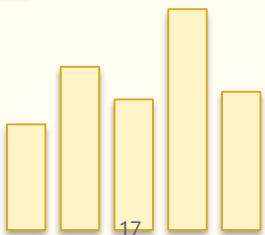
Overconfidence — measure it, do not guess

A professional investor calibrates confidence by comparing forecasts with actual outcomes.

- Record the forecast before the outcome is known.
- Measure the forecast error.
- Look for repeated optimism or pessimism.
- Widen scenario ranges or reduce position sizes when forecast error remains large.

$$\text{Absolute percentage error} = |\text{Actual} - \text{Forecast}| \div |\text{Forecast}| \times 100\%$$

The sign is removed to measure the size of the miss.

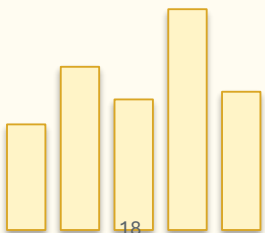




Portal 30 — Portfolio Optimization

Optimization asks how assets should work together. The highest-return asset is not automatically the best portfolio because risk, correlation, concentration and liquidity also matter.

- Expected return: what is the portfolio trying to earn?
- Volatility: how much can results fluctuate?
- Correlation: do holdings fail at the same time?
- Risk contribution: which positions actually drive risk?
- Constraints: what must the portfolio never violate?



Expected portfolio return

40% equities at 9%, 25% bonds at 4%, 20% real estate at 6%, 15% cash at 2%.

$$E(R_p) = \sum w_i E(R_i)$$

WORKINGS

- Equities: $0.40 \times 0.09 = 3.60\%$
- Bonds: $0.25 \times 0.04 = 1.00\%$
- Real estate: $0.20 \times 0.06 = 1.20\%$
- Cash: $0.15 \times 0.02 = 0.30\%$
- Total = 6.10%

ANSWER

Expected portfolio return = 6.10%

WHAT THE ANSWER MEANS

Each asset affects the portfolio according to its capital weight. The calculation also reveals which exposures are expected to contribute most to return.

INVESTMENT CONNECTION

A 6.10% expected return is meaningful only beside portfolio risk, inflation, benchmark expectations and the reliability of the return forecasts.



Correlation — the engine of diversification

Two assets can each be risky on their own but create a less risky combination if they do not move together.

$\rho = +1$

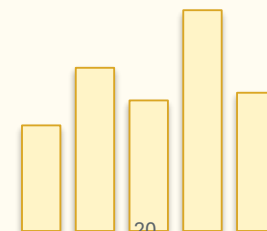
Assets move perfectly together.
Diversification benefit is minimal.

$\rho \approx 0$

Movements are weakly related.
Diversification can reduce
combined volatility.

$\rho < 0$

Assets tend to move in opposite
directions. Offsetting behavior can
be stronger.



Two-asset portfolio volatility

60% Asset A, $\sigma_A=16\%$; 40% Asset B, $\sigma_B=10\%$; correlation = 0.25.

$$\sigma_p^2 = w_A^2 \sigma_A^2 + w_B^2 \sigma_B^2 + 2w_A w_B \sigma_A \sigma_B \rho$$

WORKINGS

- A term = $0.60^2 \times 0.16^2 = 0.009216$
- B term = $0.40^2 \times 0.10^2 = 0.001600$
- Cross term = $2 \times 0.60 \times 0.40 \times 0.16 \times 0.10 \times 0.25 = 0.001920$
- Variance = 0.012736
- $\sigma_p = \sqrt{0.012736} = 0.112854 = 11.29\%$

ANSWER

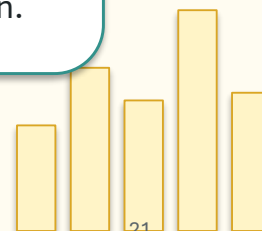
Portfolio volatility $\approx 11.29\%$

WHAT THE ANSWER MEANS

The portfolio is less volatile than Asset A's 16% because Asset B does not move perfectly with it. Correlation of 0.25 means their fluctuations partly offset one another; the cross-term is where that relationship enters the formula.

INVESTMENT CONNECTION

Do not diversify by counting assets. Diversify by understanding how exposures interact. A low-volatility asset that moves almost identically with the rest of the portfolio may add little protection.



Sharpe ratio

Expected return 8%, risk-free rate 3%, volatility 10%.

$$\text{Sharpe} = [E(R_p) - R_f] \div \sigma_p$$

WORKINGS

- Excess return = 8% – 3% = 5%
- 0.05 ÷ 0.10 = 0.50

ANSWER

Sharpe ratio = 0.50

WHAT THE ANSWER MEANS

The portfolio is expected to earn 0.50 units of return above the risk-free rate for each unit of total volatility.

INVESTMENT CONNECTION

Use Sharpe to compare portfolios on a common risk-adjusted basis, but still inspect drawdown, liquidity, concentration and whether the return assumptions are credible.





Risk budgets and constraints

Capital weight tells you where the money is. Risk contribution tells you where the danger may be.

RISK BUDGET

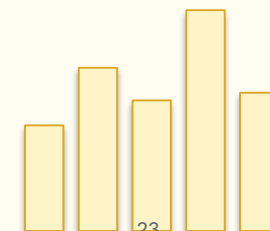
A smaller but highly volatile or highly correlated position can contribute more risk than its capital weight suggests.

CONSTRAINTS

Position limits, liquidity floors, sector/country limits and leverage ceilings keep optimization realistic.

PROFESSIONAL JUDGMENT

Optimization inputs are estimates. Use mathematics to structure judgment, not replace it.

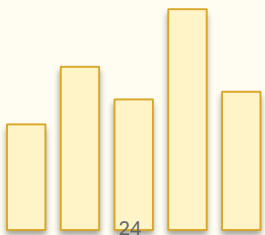




Portal 31 — Capital Rotation

Holding an investment is an active decision. Capital rotation asks whether today's expected reward is still superior to the best available alternative.

- Compare forward expected returns, not original purchase prices.
- Include downside, valuation and thesis confidence.
- Include taxes, spreads and transaction costs.
- Consider diversification and liquidity.
- Rotate only when the expected advantage is material.



Is the new opportunity better?

Current holding expected return 5.5%; new opportunity 9.0%; similar estimated risk.

$$\text{Relative advantage} = E(R_{\text{new}}) - E(R_{\text{current}})$$

WORKINGS

- $9.0\% - 5.5\% = 3.5$ percentage points

ANSWER

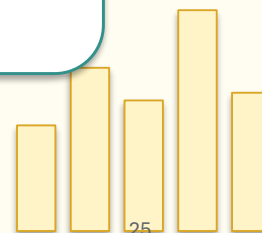
Gross expected advantage = 3.5%

WHAT THE ANSWER MEANS

From today's prices and assumptions, the alternative offers 3.5 percentage points more expected return.

INVESTMENT CONNECTION

This is only the first hurdle. The manager must subtract trading/tax costs and ask whether forecast uncertainty is large enough to erase the apparent advantage.



Switching hurdle

Expected advantage 3.5%; trading cost 0.4%; tax/other cost 1.0%.

Net benefit $\approx$ Advantage – Trading cost – Other cost

WORKINGS

- $3.5\% - 0.4\% - 1.0\%$
- $= 2.1\%$

ANSWER

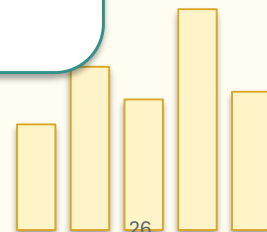
Net expected advantage $\approx 2.1\%$

WHAT THE ANSWER MEANS

After explicit switching costs, the alternative still appears better by about 2.1 percentage points.

INVESTMENT CONNECTION

A 2.1% advantage may still be too small if forecast error is larger than 2.1%. Rotation requires a margin for uncertainty, not just a positive number.





Portal 32 — Historical Market Simulator

Historical simulation is a decision laboratory. The learner receives only information available at the time and must act before the later outcome is revealed.

1987 / CRASH

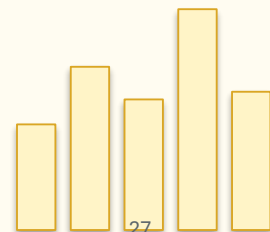
Rapid decline and liquidity shock.

DOT-COM / 2008

Valuation extremes, leverage and systemic stress.

COVID / 2022

Sudden recession, policy response, inflation and rising-rate pressure.



Drawdown

Fund peaks at \$10.8m and later falls to \$8.1m.

$$\text{Drawdown} = (\text{Trough} - \text{Peak}) \div \text{Peak} \times 100\%$$

WORKINGS

- $\$8.1\text{m} - \$10.8\text{m} = -\$2.7\text{m}$
- $-\$2.7\text{m} \div \$10.8\text{m} = -0.25$
- $-0.25 \times 100\% = -25\%$

ANSWER

Maximum drawdown = -25%

WHAT THE ANSWER MEANS

The fund lost one quarter of its value from the previous high to the trough. Drawdown describes the loss experience the investor actually had to survive.

INVESTMENT CONNECTION

A fund can have acceptable long-run returns and still violate its mandate if drawdown is too severe. Risk management must therefore consider path, not only average return.

Recovery after drawdown

The fund fell from \$10.8m to \$8.1m. What return is required to recover the peak?

$$\text{Recovery} = \text{Peak} \div \text{Trough} - 1$$

WORKINGS

- $\$10.8\text{m} \div \$8.1\text{m} - 1$
- $= 1.333333 - 1$
- $= 0.333333 = 33.33\%$

ANSWER

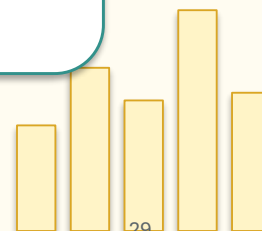
Required recovery $\approx 33.33\%$

WHAT THE ANSWER MEANS

A 25% drawdown needs a 33.33% gain because the recovery is earned on the smaller \$8.1m capital base.

INVESTMENT CONNECTION

After a severe drawdown, taking even more risk simply to recover quickly can compound the damage. Re-underwrite the portfolio instead of chasing the old peak.

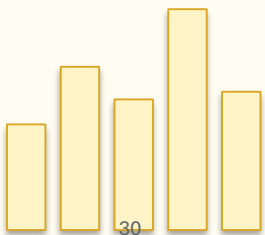




Avoid hindsight bias

A good process can produce a bad outcome, and a poor process can occasionally produce a good one.

- Record what information was known at the decision date.
- Record alternatives considered.
- State what would change the decision.
- Reveal the next historical event only after the decision is locked.
- Score both the quality of the process and the eventual result.





Portal 33 — Global Investment Strategy

Global investing can diversify economic exposure, but it also introduces currency, country, legal, political and liquidity risks.

ASSET RETURN

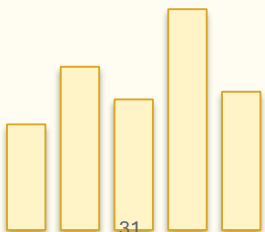
How did the investment perform in its local market?

CURRENCY RETURN

Did the foreign currency strengthen or weaken against the home currency?

COUNTRY RISK

Could politics, capital controls, inflation or market structure change the outcome?



Currency-adjusted return

Foreign stock +12% in local currency; foreign currency –8% versus home currency.

$$\text{Home return} = (1 + \text{Local return})(1 + \text{FX return}) - 1$$

WORKINGS

- $(1.12)(0.92) - 1$
- $= 1.0304 - 1$
- $= 0.0304 = 3.04\%$

ANSWER

Home-currency return = 3.04%

WHAT THE ANSWER MEANS

The stock performed well locally, but most of that gain was offset because the foreign currency weakened. The home investor experiences both effects together.

INVESTMENT CONNECTION

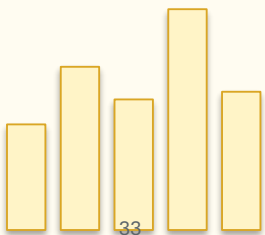
Separate the asset thesis from the currency thesis. Decide whether currency exposure is intentional or should be hedged.



Country exposure is more than a flag

A company's listing country, revenue sources, currency exposure and economic dependencies can all be different.

- Measure direct country weights.
- Look through multinational revenue exposure.
- Assess political stability and rule of law.
- Review inflation, monetary credibility and sovereign debt.
- Consider capital controls, sanctions and market liquidity.

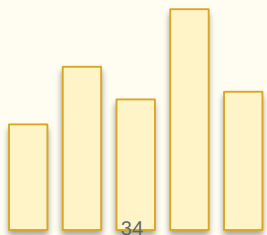




Portal 34 — The Fund Mandate

The \$10 million simulated fund is governed by an Investment Policy Statement (IPS). The IPS defines success and prevents the manager from changing the rules after seeing the outcome.

- Objective and return target.
- Benchmark.
- Maximum drawdown / risk limits.
- Minimum liquidity.
- Maximum single-name, sector and country exposure.
- Currency and leverage rules.
- Review and governance process.



Scaling a target allocation

\$10m fund with a 35% strategic equity target.

Dollar allocation = Fund value × Target weight

WORKINGS

- 35% = 0.35
- \$10,000,000 × 0.35
- = \$3,500,000

ANSWER

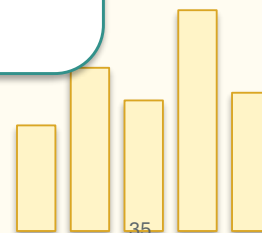
Target equity allocation = \$3.5m

WHAT THE ANSWER MEANS

The same weight logic used in a small portfolio scales to professional capital: 35% of the fund is allocated to equities.

INVESTMENT CONNECTION

At larger size, arithmetic is unchanged but implementation is not. Liquidity, market impact, execution time and governance become part of the investment decision.



Maximum position size

\$10m fund; maximum single-stock weight = 6%.

Maximum position = Fund value × Position limit

WORKINGS

- 6% = 0.06
- \$10,000,000 × 0.06
- = \$600,000

ANSWER

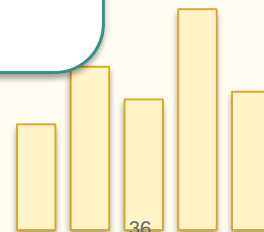
Maximum position = \$600,000

WHAT THE ANSWER MEANS

No single stock may exceed \$600,000 at the current fund size. The rule limits the damage if one thesis is wrong.

INVESTMENT CONNECTION

Monitor limits after price moves as well as at purchase. A successful position can grow into an unintended concentration.



Liquidity reserve

\$10m fund; mandate requires 12% in cash or highly liquid instruments.

$$\text{Reserve} = \text{Fund value} \times \text{Liquidity requirement}$$

WORKINGS

- $12\% = 0.12$
- $\$10,000,000 \times 0.12$
- $= \$1,200,000$

ANSWER

Minimum liquid reserve = \$1.2m

WHAT THE ANSWER MEANS

At least \$1.2m remains available for obligations, redemptions or opportunities without forcing the sale of illiquid assets.

INVESTMENT CONNECTION

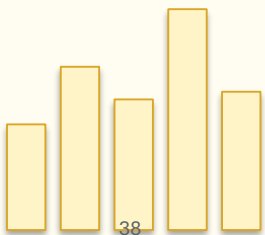
Too much cash can drag on returns; too little can force destructive selling. Liquidity is a portfolio design choice, not unused money.



Portal 35 — Multi-Year Fund Simulation

Multi-year management tests whether the process remains usable as prices, interest rates, companies, currencies and opportunities change.

- Research and refresh theses.
- Buy, add, hold, trim or sell.
- Hedge and rebalance when justified.
- Monitor mandate limits.
- Record why each material decision changed.



Geometric return

Annual returns: +10%, −5%, +12%. What constant annual rate matches the compounded path?

$$\text{Geometric return} = [(1+R_1)(1+R_2)(1+R_3)]^{(1/3)} - 1$$

WORKINGS

- $1.10 \times 0.95 \times 1.12 = 1.1704$
- $1.1704^{(1/3)} \approx 1.05382$
- $1.05382 - 1 = 0.05382$

ANSWER

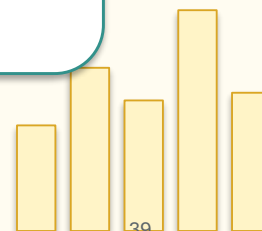
Geometric return $\approx 5.38\%$ per year

WHAT THE ANSWER MEANS

The fund compounded as though it had earned about 5.38% every year. This respects the actual sequence of gains and losses.

INVESTMENT CONNECTION

Use geometric return for multi-period wealth growth. Arithmetic averages can overstate realized compounding when returns vary.



Ending fund value

Beginning fund = \$10m. Growth factor from +10%, -5%, +12% = 1.1704.

Ending value = Beginning value × Growth factor

WORKINGS

- $\$10,000,000 \times 1.1704$
- = \$11,704,000

ANSWER

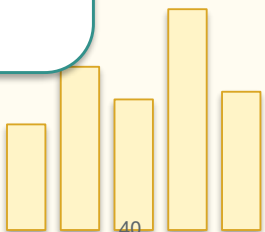
Ending value = \$11.704m

WHAT THE ANSWER MEANS

The sequence of annual returns grows the original \$10m to \$11.704m before external flows or fees.

INVESTMENT CONNECTION

Dollar value makes compounding tangible, but performance must still be compared with the benchmark and risk taken.





Turnover and decision cadence

A manager can monitor continuously without trading continuously. Turnover shows how much of the portfolio is being replaced; cadence determines when reviews and actions occur.

MONITOR

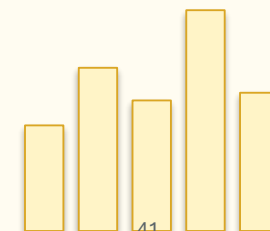
Daily/weekly: material events and risk breaches.

REVIEW

Monthly/quarterly: positioning, liquidity, earnings and thesis refresh.

ACT

Event-driven: trade only when evidence materially changes expected return, risk or portfolio fit.

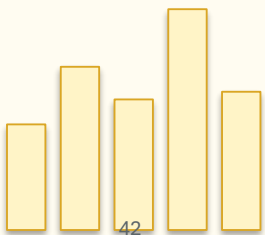




Portal 36 — Final Investment Committee

The committee evaluates both outcomes and process. Strong returns achieved through hidden concentration or mandate violations are not automatically strong management.

- What was the mandate?
- How did the fund perform versus benchmark?
- What was the drawdown and risk-adjusted result?
- Which positions and allocation decisions drove performance?
- What failed?
- What was skill, and what may have been luck?
- What investment philosophy emerged?



Total fund return

Fund begins at \$10m and ends at \$11.3m with no external flows.

$$\text{Return} = (\text{Ending} - \text{Beginning}) \div \text{Beginning} \times 100\%$$

WORKINGS

- $\$11.3\text{m} - \$10.0\text{m} = \$1.3\text{m}$
- $\$1.3\text{m} \div \$10.0\text{m} = 0.13$
- $0.13 \times 100\% = 13.0\%$

ANSWER

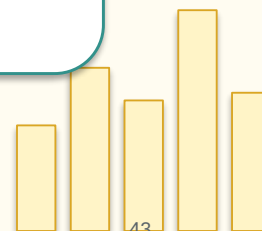
Fund return = 13.0%

WHAT THE ANSWER MEANS

The fund increased by 13% over the measurement period. This is the starting point of evaluation, not the final judgment.

INVESTMENT CONNECTION

Now compare the 13% with the benchmark, drawdown, volatility, liquidity and mandate. Return without context can reward unnecessary risk.



Active return

Fund return = 13.0%; benchmark return = 9.5%.

Active return = Portfolio return – Benchmark return

WORKINGS

- 13.0% – 9.5%
- = +3.5 percentage points

ANSWER

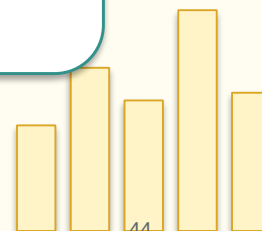
Active return = +3.5%

WHAT THE ANSWER MEANS

The fund outperformed its benchmark by 3.5 percentage points.

INVESTMENT CONNECTION

The committee must determine why: intended allocation, security selection, currency exposure, concentration or an accidental factor bet.



Contribution to return

Beginning equity weight = 40%; equities return 15%.

Approx. contribution = Weight $\times$ Asset return

WORKINGS

- $0.40 \times 0.15 = 0.060$
- = 6.0 percentage points

ANSWER

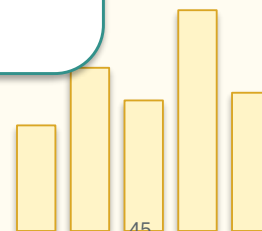
Equity contribution $\approx$ +6.0 percentage points

WHAT THE ANSWER MEANS

The asset's 15% return does not become a 15% portfolio return because equities were only 40% of the fund. Their approximate effect on the total fund is 6 percentage points.

INVESTMENT CONNECTION

Always discuss performance together with position weights. A spectacular return in a tiny position may matter less than a moderate return in a large allocation.





Skill versus luck

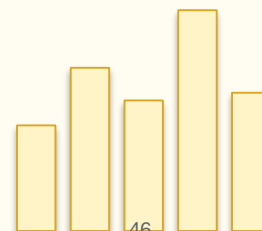
One successful year cannot prove skill. The committee looks for repeatability, calibration and consistency with the mandate.

MORE CONSISTENT WITH SKILL

Repeatable process, calibrated forecasts, controlled risk, intended theses driving attribution.

MORE CONSISTENT WITH LUCK

One concentrated bet, unexpected factor exposure, outcomes far beyond the assumptions, rules rewritten after the fact.

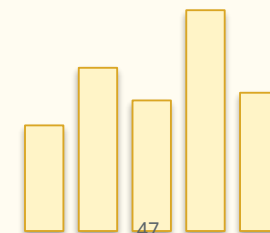




Build your investment philosophy

A strategy describes what you do. A philosophy explains why you believe that approach can work and how you will behave when uncertainty appears.

- Where do you believe attractive opportunities come from?
- What evidence do you trust most?
- How do valuation and quality interact?
- How much concentration is acceptable?
- How do you respond to drawdowns?
- When is hedging appropriate?
- What evidence would make you change your process?





The complete Yellow City decision loop

By the end of Yellow City, the learner should be able to move through this loop repeatedly without losing the connection between mathematics and judgment.

1. UNDERWRITE

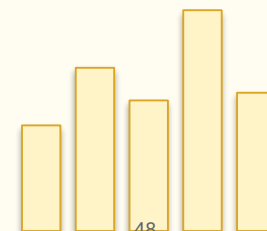
Research → valuation → expected return → catalyst → falsification.

2. CONSTRUCT

Weight → correlation → risk budget → constraints → optimize.

3. MANAGE & REVIEW

Monitor → rotate → stress → attribute → learn → update philosophy.

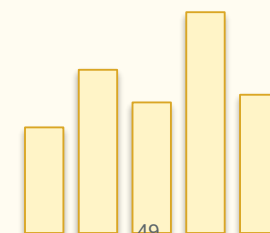




Before you buy — five questions

Use these questions to slow the decision down before capital is committed.

- What must be true for this investment to work?
- What return is implied by my scenarios?
- What is the plausible downside if I am wrong?
- What does this position add to the existing portfolio?
- What evidence will make me reduce or exit?

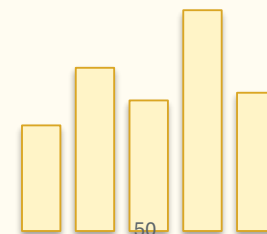




Before you sell — five questions

Selling should be based on forward evidence, not simply whether the position is currently a winner or loser.

- Has the thesis changed?
- Has price moved beyond defensible value?
- Has risk breached the mandate?
- Is there a materially better use of capital after costs?
- Am I reacting to evidence — or to discomfort, FOMO or the desire to break even?





Yellow City formula map

Each formula answers a different investment question. Start with the question, then choose the calculation.

RETURN

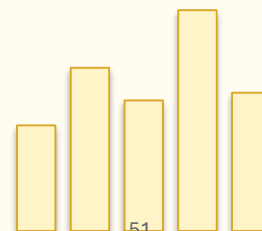
Expected return • portfolio return •
geometric return • active return.

RISK

Variance • volatility • Sharpe •
drawdown • recovery.

ALLOCATION

Position size • country weight •
liquidity reserve • contribution.

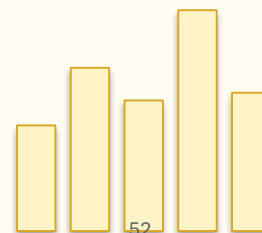




Formula reference — return & valuation

Use consistent units: convert percentages to decimals during multiplication and convert back to percentages for interpretation.

- Expected return: $E(R) = \sum p_i R_i$
- Upside: $(\text{Value} - \text{Price}) \div \text{Price} \times 100\%$
- Portfolio expected return: $\sum w_i E(R_i)$
- Geometric return: $[\prod (1 + R_t)]^{1/n} - 1$
- Active return: $R_p - R_b$
- Contribution $\approx \text{Weight} \times \text{Asset return}$

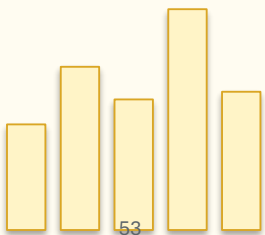




Formula reference — risk & management

The formula is only complete when the learner can explain what the result changes in the portfolio.

- Required recovery: $1/(1 - \text{Loss rate}) - 1$
- Two-asset variance: $w_1^2 \sigma_1^2 + w_2^2 \sigma_2^2 + 2w_1 w_2 \sigma_1 \sigma_2 \rho$
- Sharpe: $(R_p - R_f) \div \sigma_p$
- Drawdown: $(\text{Trough} - \text{Peak}) \div \text{Peak} \times 100\%$
- Home-currency return: $(1 + \text{Local})(1 + \text{FX}) - 1$
- Maximum position: $\text{Fund value} \times \text{Position limit}$

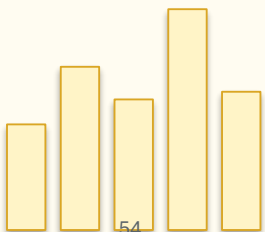




Final Investment Committee — presentation order

A strong committee presentation tells one coherent story from mandate to lessons learned.

- 1. Mandate, benchmark and constraints.
- 2. Final allocation and major holdings.
- 3. Return, active return, drawdown and risk-adjusted performance.
- 4. Major contributors and detractors.
- 5. Best and worst decisions.
- 6. Behavioral and process mistakes.
- 7. Global/currency and crisis decisions.
- 8. Skill versus luck.
- 9. Final investment philosophy.





Yellow City graduation standard

Mastery does not mean predicting every market move. It means using a repeatable process to make, measure, revise and defend investment decisions under uncertainty.

YOU CAN EXPLAIN

Every major position has a thesis, valuation, risk case and exit logic.

YOU CAN CALCULATE

Returns, portfolio risk, recovery, currency effects, limits and attribution are shown with proper workings.

YOU CAN DEFEND

You can explain what worked, what failed, what was luck and what you will do differently next time.

